Business Continuity and Contingency Planning

As a manager, you might have already encountered events or incidents that have caused major disruption to your organisation. They may have set your company on a different course or led to a loss in valuable business.

Many organisations will embark on plans to mitigate the risks of business disruption by conducting 'contingency planning'. This practice is often part of corporate governance strategy and involves preparing for unexpected events or emergencies that could disrupt normal business operations.

In the context of organisational governance, contingency plans, also known as 'business continuity plans' or 'emergency response plans' are "action plans to help organisations resume normal business operations after an unintended interruption".[1] In other words, it's a 'Plan B', should 'Plan A' fail or something significant happen to affect it.

One popular form of contingency planning is 'business continuity management' (BCM). According to HM Government, BCM is "about identifying [the] parts of your organisation that you can't afford to lose – such as stock, premises, staff – and planning how to maintain these, if an incident occurs".[2] Implementing a BCM programme generally involves three key areas:

- Identifying who will be accountable for the programme and assigning responsibilities
- Establishing and implementing BCM as an organisational process
- Ensuring the process's ongoing management

A key element of BCM is conducting a 'business impact analysis'.

First, this involves identifying the key areas of the business that would have the greatest impact if disrupted and then documenting what the impact would be across different timelines. This helps to identify the maximum response time that is needed should the incident occur. It also helps to understand the 'recovery time objective' – the point at which products and services would need to be resumed for the effect of the incident on the business to be minimal.

Next, it is necessary to document critical activities and quantify the resources required to get these activities on track to an acceptable level. Resources may include people, premises, technology, information, and suppliers and partners whose access to resources should be considered as part of the planning process.

BCM may also include a risk assessment that looks at the likelihood and impact of a variety of risks to the business. You can see an example of a risk management assessment in the diagram below.

[1] Flinders, M. (2023). Contingency plan examples: A step-by-step guide to help your business prepare for the unexpected. IBM Think. Available at: https://www.ibm.com/think/topics/contingency-plan-examples [Accessed 6 May 2025]
[2] HM Government (N.D.). Business continuity management toolkit. Available at: https://assets.publishing.service.gov.uk/media/5a7b283de5274a34770e9d01/Business_Continuity_Managment_Toolkit.pdf [Accessed 6 May 2025]

Severity →

↑ *Likelihood*

	Negligible	Minor	Moderate	Significant	Severe
Very likely	Low-medium	Medium	Medium-high	High	High
Likely	Low	Low-medium	Medium	Medium-high	High
Possible	Low	Low-medium	Medium	Medium-high	Medium-high
Unlikely	Low	Low-medium	Low-medium	Medium	Medium-high
Very unlikely	Low	Low	Low-medium	Medium	Medium

Likelihood x severity = risk level

Risk assessment matrix example – RiskPal[3]

On one axis is the likelihood of a risk happening (from ‘low’ to ‘high’) and on the other is the severity of the impact (again from ‘low’ to ‘high’). The highest severity/impact-probability combinations are likely to be the key focus areas for BCM.

Once the risks that are high in likelihood and/or impact have been identified, it’s important to recognise the ‘triggers’ – specific events or conditions – that require a response.[4] There could be a number of response options, such as:

- **Treat** – use BCM to reduce the disruption
- **Tolerate** – accept the risk
- **Transfer** – engage insurance, contractual arrangements or third parties to manage the risk
- **Terminate** – change, suspend or stop operations, for example, because the risk is too high, or the objectives are not considered valuable enough[5]

When critical business areas have been identified and risks have been assessed, a business continuity or recovery plan can be put in place. The plan should include:

- Critical activities to be recovered and the acceptable response timescales
- Resources available at different points
- The process for mobilising resources
- Detailed actions and required tasks[6]

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[3] RiskPal (2023). Risk assessment matrix. Available at: https://www.riskpal.com/risk-assessment-matrices/ [Accessed 6 May 2025]
[4] Flinders, M. (2023). Contingency plan examples: A step-by-step guide to help your business prepare for the unexpected. IBM Think. Available at: https://www.ibm.com/think/topics/contingency-plan-examples [Accessed 6 May 2025]
[5] HM Government (N.D.). Business continuity management toolkit. Available at: https://assets.publishing.service.gov.uk/media/5a7b283de5274a34770e9d01/Business_Continuity_Managment_Toolkit.pdf [Accessed 6 May 2025]
[6] HM Government (N.D.). Business continuity management toolkit. Available at: https://assets.publishing.service.gov.uk/media/5a7b283de5274a34770e9d01/Business_Continuity_Managment_Toolkit.pdf [Accessed 6 May 2025]

Once the plan has been made, it's vital that everyone involved is given clear instructions about how to follow it, and knows who is responsible for each element. For this reason, it's necessary not only to have this information clearly outlined in the plan but also for the contents of the plan to be communicated to key stakeholders.

Contingency plans are key when it comes to running a business for several reasons. Perhaps most importantly, it's much easier and quicker to respond to problems when the likely risks have been considered in advance – rather than having to react without a reference in a potentially stressful and fast-moving situation.

In addition, depending on the scenario, it's likely that planning risk responses will also save money because managers will be able to address issues more efficiently and avoid costly delays or mistakes.

Being well prepared for potential threats can instil confidence among a company's stakeholders, and in the event that things do go wrong, knowing that there's a structured plan in place to address the situation is likely to both ensure that any action taken remains under control, as well as reassure everyone involved in the process.